Note 13 - Income Taxes

The provision for income taxes is as follows at June 30:

	2003	2002	2001
Current			
Federal	$ -	$ 68,000	$ 37,757
State	-	7,000	19,000
Deferred	(187,500)	25,400	(9,000)
Tax benefit of net operating loss	-	(75,000)	(89,300)
	$ (187,500)	$ 25,400	$ (41,543)

A reconciliation of income at the statutory rate to the Company's effective rate is as follows at June 30:

	2003	2002	2001
Federal statutory rate	34.00%	34.00%	34.00%
Non deductible expenses	1.02	12.63	(2.53)
Basis difference in assets and liabilities	(65.22)	108.54	(25.42)
Capital loss and reversal of non deductible write down of real estate	-	(21.41)	-
Change in deferred tax asset valuation allowance and net operating loss	2.29	(101.96)	-
Discontinued operations	-	-	(20.42)
Change in accounting principal	(3.52)	-	-
	(31.43)%	31.80%	(14.37)%

Note 13 - Income Taxes (continued)

Deferred tax assets and liabilities are comprised of the following at June 30:

	2003	2002	2001
Deferred Tax Assets			
Allowance for doubtful accounts	$ 108,200	$ 102,600	$ 13,100
Accrued compensation	36,200	30,200	27,600
Inventory	17,300	19,900	19,100
Capital loss carryforward	-	18,800	-
Net operating loss carryforward	158,900	15,000	89,300
Other	16,400	10,600	1,000
Total deferred tax assets	337,000	197,100	150,100
Deferred Tax Liabilities:			
Depreciation of property and equipment	(179,900)	(179,900)	(155,100)
Insurance proceeds receivable	-	(47,600)	-
Total deferred tax liabilities	(179,900)	(227,500)	(155,100)
Deferred taxes - net	$ 157,100	$ (30,400)	$ (5,000)
Current deferred tax asset	$ 178,000	$ 149,500	$ 150,100
Long-term deferred tax liability	(20,900)	(179,900)	(155,100)
	$ 157,100	$ (30,400)	$ (5,000)

As of June 30, 2003, the Company had the following net operating loss carryforwards:

Expiration Date	Net Operating Loss
2021	$ 40,000
2022	386,000
	$ 426,000

Realization of the income tax benefits of future deductible amounts is dependent on the Company's ability to generate taxable income in amounts sufficient to absorb net operating loss carryovers prior to the expiration of the carryovers. Provisions of the Internal Revenue Code pertaining to changes in ownership interest and alternative minimum taxes may limit the amount of carryovers that may be absorbed in any specific year. It is reasonably possible that a change in the estimate of deferred income tax assets may occur in the near term.